

El Niño to drive global food prices 10%–18% higher

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summary

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A record El Niño and Hormuz and Black Sea shipping disruptions will likely drive global food commodity prices 10%-18% higher by June 2027.

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Likely US-Iranian de-escalation will allow a partial Strait of Hormuz reopening, with oil prices expected to fall to a \$65-\$80 band for the rest of the year once a deal is reached.

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China’s tax rules will bring offshore trusts, insurance policies, and securities accounts held by Chinese tax residents within reach of Chinese authorities.

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Marc Gustafson, filling in for Ian Bremmer, outlines the four biggest US analytic failures behind the Iran campaign.

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Regions, countries, and sectors covered in this edition include the US, Brazil, China, France, Iran, Mexico, Pakistan, Sri Lanka, oil, and sustainability.

the top line

Global Macro—El Niño will concentrate food commodity inflation across vulnerable regions

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A record El Niño and disruptions to shipping in the Strait of Hormuz and Black Sea will likely drive global food commodity prices 10%–18% higher by June 2027.

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Latin America, the Asia-Pacific, and Africa will be at the center of this price shock, given their geographic exposure to the weather pattern and their high export concentrations of commodities such as cocoa, robusta coffee, and wheat.

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Government measures—including strategic buffer stockpiling and the activation of drought preparedness programs—will cushion production declines, but policy risks remain elevated, particularly from government interventions on prices and exports.

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Read more here . Reach out to discuss: sustainability@eurasiagroup.net .

Iran, Oil—Oil prices will fall even if Hormuz traffic only partially recovers

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Likely US-Iranian de-escalation will allow for a partial reopening of the Strait of Hormuz, with prices falling into a \$65–\$80 band once a deal is reached.

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Even if strait traffic doesn't recover past 30%–50% of its prewar level, the flow of oil is likely to be sufficient to meet demand, given the continued curtailment of Chinese imports, though another closure would send prices higher again.

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Europe's chief concern has shifted from summer jet fuel to winter heating fuel supplies, as prolonged disruption in the strait and the ongoing Russia-Ukraine conflict strain the continent's stocks ahead of the winter months.

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Read more here , and listen to the 13 August conference call here . Reach out to discuss: ecr@eurasiagroup.net .

China—China will tighten offshore taxation as fiscal pressure mounts

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Beijing's expanded tax-data infrastructure will bring offshore trusts, insurance policies, and securities accounts held by Chinese tax residents within reach of Chinese tax authorities.

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Hong Kong will retain its wealth-management hub status despite tighter taxation, though wealthy mainland families may increasingly diversify toward Singapore.

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Fiscal pressure will push Beijing to broaden the taxation of high-income households and offshore wealth, making personal income tax an increasingly important revenue source.

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Read more here . Reach out to discuss: china@eurasiagroup.net .

eg update—Marc Gustafson on how the US miscalculated on Iran

Marc Gustafson, filling in for Ian Bremmer, outlines the four biggest US analytic mistakes behind the Iran campaign.

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Some in Washington believed they had enough help on the inside; The US underestimated Iran's willingness to attack the Gulf states; US military planners were too confident they could entomb Iran's

missiles and drones; and the US drew the wrong lessons from the 12-day war.

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What this means going forward: Hardliners now run Iran with little institutional voice for restraint. New Supreme National Security Council head Mohsen Rezaei views the Strait of Hormuz as the deterrent that replaced the nuclear program the US destroyed. Iran could rebuild ballistic missile stockpiles to near pre-war levels within 12–18 months. China knows US munitions inventories are depleted. Russia's oil windfall is more fragile than it looks. And counterintuitively, the Middle East may be more stable by 2028—a mutual deterrence standoff, ugly but stable. To read more about Marc's views of Iran, see this week's EG Update .

Chart of the Day: France—Economic pain will amplify political volatility through 2027

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French bond yields are rising and spreads to German yields are widening. Extreme heat across Europe is having increasing economic impact.

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France's large and politically important agriculture sector is facing significant crop losses and nuclear power production is falling as low river levels impact cooling systems.

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Any fiscal consolidation in upcoming budget talks will be challenging against such a backdrop. Recent moves may not be specifically about the 2027 election, but a worsening economic backdrop is likely to increase the market impact of political risk over the next year.

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Reach out to discuss: geoeconomics@eurasiagroup.net .

upcoming conference calls

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18 August 9:30 AM ET—China's political and economic outlook. Register here .

eg in depth

Mexico, US—Sheinbaum's de-escalation options narrow as Washington targets Lopez Obrador's son The US's move to revoke the visa of former president Andres Manuel Lopez Obrador's son comes close to crossing President Claudia Sheinbaum's red lines and will increase pressure from her political base to respond more decisively. Sheinbaum will seek to maintain security cooperation with the US while taking a firm public stance in support of Andres Lopez Beltran, who issued a fiery letter addressed to President Donald Trump that is likely to anger Washington. Trade discussions will remain on a separate track for now, but the US will continue to press Sheinbaum on security given ongoing concerns about alleged ties between high-profile Morena figures and criminal groups. Read more here . Reach out to discuss: mexico@eurasiagroup.net .

Sri Lanka—Upgrading short-term political trajectory on improved economic stability Sri Lanka is set to conclude its IMF program in March, weathering a November cyclone and the fallout from the Iran conflict to stay the course on its IMF commitments. President Anura Kumara Disسانayaකේ's government

is likely to remain stable—it has ample political capital to proceed with economic overhauls to improve the country's business environment. This outlook is prompting an upgrade of Sri Lanka's short-term political trajectory from neutral to positive. Read more here . Reach out to discuss: southasia@eurasiagroup.net .

US—Forecasters favor Democrats in Senate While EG maintains its view that the GOP is likely to hold its Senate majority (55% odds), the release of Nate Silver's Senate forecast has swung prediction markets away from Republicans. Silver, the godfather of quantitative election forecasting, places 56% odds on Democrats winning the chamber, slightly higher than any other major forecaster. Republicans' odds of retaining the Senate fell on Kalshi by three points, from 54% to 51%, in the hour following the release. Our 55% odds reflect a race as close to a tossup as possible; macro factors—such as the potential reopening of the Strait of Hormuz—will play a vital role in the outcome. Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Brazil—Election update On a 14 August conference call, EG analysts discussed President Luiz Inacio Lula da Silva's 60% odds of victory, though his effective polling lead is probably only 2-3 percentage points. Campaign dynamics matter more in this cycle than in recent Brazilian elections, as predictive models point in different directions and deep voter pessimism spans both of Brazil's major political forces. A fourth term for Lula would probably begin with a likely insufficient fiscal adjustment, but policy discipline could erode in 2027 as approval declines and political pressure rises. Read more here . Reach out to discuss: brazil@eurasiagroup.net .

Pakistan—Sharif government will weather Kashmiri protests amid fragmented provincial unrest Pakistani security forces have violently suppressed Kashmiri protests and suspended local assembly elections, the latest episode of ethnic unrest across border provinces that remains too fragmented to threaten Islamabad. The expressions of support for the Kashmiris by the junior partner of Prime Minister Shehbaz Sharif's government, the Pakistan People's Party (PPP), are largely rhetorical and do not pose a risk to the Sharif government's stability. The crackdown is embarrassing given Pakistan's accusations about India's suppression of its Kashmiri population, but any international fallout will be limited as Islamabad takes on an expanded diplomatic role in the Iran conflict. Read more here . Reach out to discuss: southasia@eurasiagroup.net .

Upcoming events:

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17 August: Events: South Korean markets close for Liberation Day; Data: China property prices and industrial production, Japan GDP.

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18 August: Events: Ukrainian lawmakers begin voting on new government appointments following July's reshuffle, through 21 August; Data: US industrial production.

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19 August: Events: The US is set to impose new 50% tariffs on certain Canadian goods, Hungarian President-elect Andras Baka takes office; Data: Eurozone and UK CPI; Central bank decisions: Iceland and Indonesia, US releases July Fed meeting minutes.

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20 August: Data: Japan trade and foreign bond buying; Central bank decision: Sweden.

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21 August: Data: Eurozone, India, Japan, UK, and US manufacturing PMI, and Japan CPI.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Martina Silva, and Trista Kelley, with help from Astral Betteridge and Blaise Hanson.

closing quip

"This strait will be opened and closed only under Iran's command, and so long as you do not accept the reality of defeat and stop indulging in fantasies, Iran will continue to enforce the blockade," —Iran's Deputy Foreign Minister Kazem Gharibabadi posted on X on 14 August.

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